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split with Chiranjeevi's PRP playing spoilsport for the TDP.

Extreme politics—Left or Right—have no relevance in Indian democracy and the BJP and Left have a lot to learn. This may be a bit of wishful thinking, pleasing as it may be to the liberal observer. Shiv Sena, MNS and the Left vote shares, among others, show that there are takers for extreme view points. See the emergence of AUIF in parts of Assam. Even if extreme views remain in the fringe, it is dangerous for India's pluralistic society and polity. The BJP will of course have to figure out how to remain a right-of-centre party without polarising India. The timing of this election should have been tailor-made for any opposition party but the BJP made a clear hash of things.

MANDATE FOR GOVERNANCE AND REFORMS

Stock markets have expectedly reacted with euphoria to the decisive electoral verdict and hopes have been raised that the lost momentum of reforms will come back into Indian policy making. To regain India's growth momentum and to put the economy on a sustainable growth path, reforms will need to be strengthened—both in matters of economy and governance. It was not easy in the past and will not be easy, especially now in the current global environment where the excesses of capitalism and exploitation of the liberal system are raising many questions.

The consolidated fiscal deficit/GDP (including states and off-balance items like oil, fertiliser and food bonds) for financial year 2009 surged by 11 per cent. The reason was the combination of soft tax revenues and increased expenditure due to higher social spending, pay increase for government employees, farm loan waiver and subsidies. We see the deficit remaining at similar levels for financial year 2010, which will translate into Rs 3.1

trillion net borrowing by the government.

For now, the surge in the government borrowing programme has had a limited impact on interest rates, since this has been offset by the fall in credit demand from the private sector, the cut in policy rates and unwinding of market stabilisation scheme (MSS) bonds by the RBI and near-zero headline inflation. However, a lax attitude towards reining in the fiscal deficit would create upward pressure on bond yields as private credit demand and WPI inflation pick up in the second half of financial year 2010 and equities would react negatively to any prospect of the accommodative monetary policy stance being reversed. With the global recession having slowed down growth, the government will have increasing challenges to fund some of its populist schemes. Will Manmohan deliver on governance and reforms or will he continue to sound apologetic about the policy regime India adopted after 1991?

Sonia Gandhi has said that Indira Gandhi's policy of nationalisation of banks has saved the Indian financial system! The reading of the Congress party's manifesto in 2009 does not inspire much confidence. But then again, not too much weight should be given to manifestos. If the Congress reads the mandate as not "luck by chance", but due to its ineffective governance and its populist policies over the last five years, then the euphoric feeling will vanish sooner rather than later. The people of India cutting across socio-economic strata are looking for opportunities and level playing fields, not state patronage that keeps them poor, backward and ignorant.

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